

Table 11: Conditional moments with and without emerging markets, 1996:01–2026:02. For each portfolio and leg, monthly returns off and on the (lagged) IYC signal, summarized by months, annualized mean (%/yr) and Sharpe ratio, skewness, and the monthly 5% value-at-risk, 5% expected shortfall, and worst month (%/month). Panel A: the paper’s G10 portfolios on this subsample; Panel B: the same sorts on the sixteen-currency universe.

Series	State	N	Mean (%/yr)	Sharpe	Skew	VaR _{5%}	ES _{5%}	Worst
<i>Panel A: the G10 portfolio</i>								
Carry, spot	No signal	305	+2.96	0.44	−0.39	−3.31	−4.40	−6.04
	Signal on	57	−12.79	−1.24	−1.10	−6.80	−8.75	−12.09
Carry, total	No signal	305	+6.22	0.93	−0.38	−3.08	−4.12	−5.78
	Signal on	57	−8.67	−0.84	−1.09	−6.36	−8.41	−11.61
High-beta, spot	No signal	305	+2.03	0.26	−0.58	−3.95	−5.18	−9.19
	Signal on	57	−8.72	−1.10	−0.42	−4.70	−5.51	−6.85
High-beta, total	No signal	305	+4.07	0.53	−0.58	−3.78	−4.99	−8.97
	Signal on	57	−6.32	−0.79	−0.42	−4.41	−5.32	−6.69
<i>Panel B: the G10+EM portfolio (16 currencies)</i>								
Carry, spot	No signal	305	+0.46	0.04	−0.81	−5.23	−7.01	−19.25
	Signal on	57	−12.51	−0.63	−1.66	−10.77	−17.16	−26.18
Carry, total	No signal	305	+11.68	1.08	−0.38	−4.07	−5.73	−16.55
	Signal on	57	+2.51	0.12	−1.08	−9.35	−15.02	−23.43
High-beta, spot	No signal	305	−0.58	−0.06	−0.10	−4.81	−6.52	−9.77
	Signal on	57	−5.69	−0.39	−0.93	−6.76	−12.04	−14.88
High-beta, total	No signal	305	+6.79	0.66	+0.05	−4.09	−5.74	−8.92
	Signal on	57	+3.68	0.24	−0.48	−6.14	−10.64	−14.35